

# Chapter five

## **Strategic Analysis: Understanding a Firm's Competitive Environment**





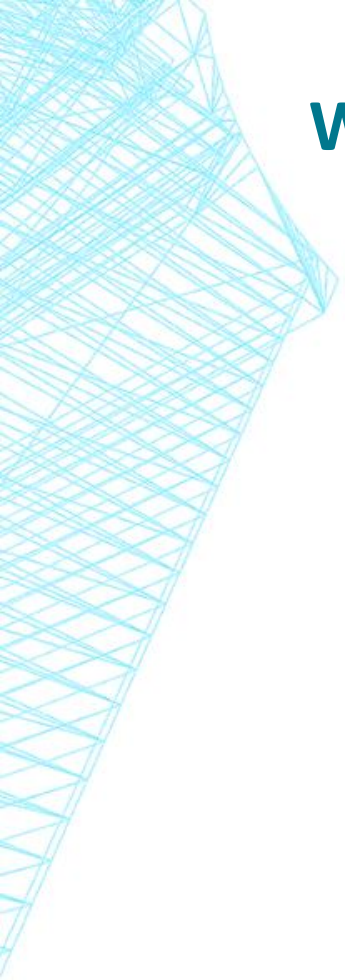
## **After Finishing This Lecture We Should Know The Following:**

- **What is strategic analysis, and why do firms need to analyze their competitive environment?**
- **What are the components/factors of the competitive environment?**
- **How do firms do strategic analysis for the environment?**
- **SWOT analysis.**
- **What is the broad concept of a firm's environment (macro and micro)?**



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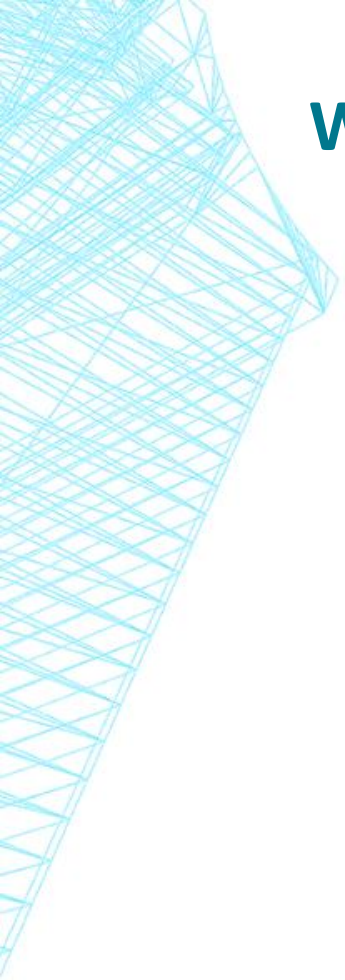
- **What is the meaning of the internal environment?**
- **How can firms use their internal environment to increase profit?**
- **How can firms use their resources and capabilities to build an advantage over rivals?**
- **What is the meaning of competitive advantage?**
- **How can firms gain a competitive advantage over rivals?**



## What is strategic analysis?

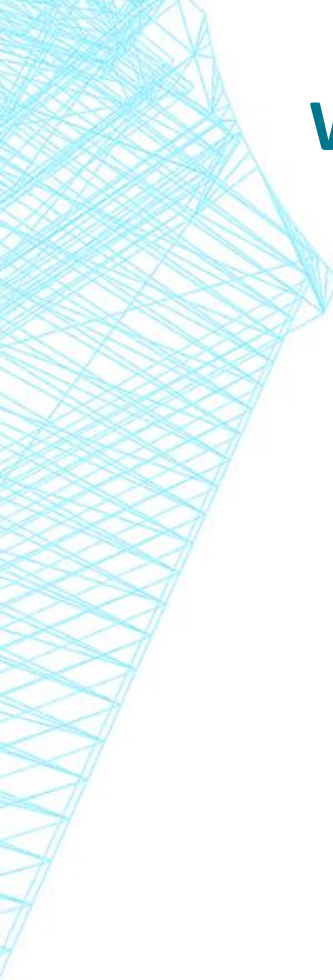
- **Strategic analysis** is the **process** that **firms use** to **study** and **understand** the many **different layers and aspects** of their **competitive environment**.





# Why do firms need to analyze their competitive environment?

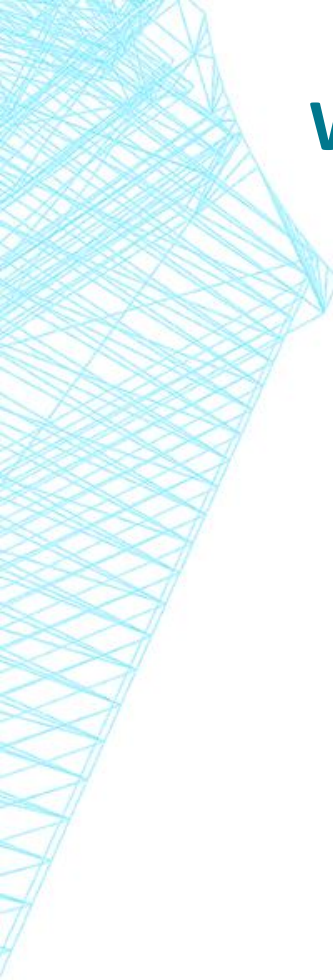
- Firms **do not** operate in a **vacuum**. They are **impacted** by **forces** and **factors** from **inside** their organizations and from **outside** the world at large.
- **Understanding** these **forces** and **factors** is **crucial** to achieving **business success**.



# What are the components/factors of the competitive environment?

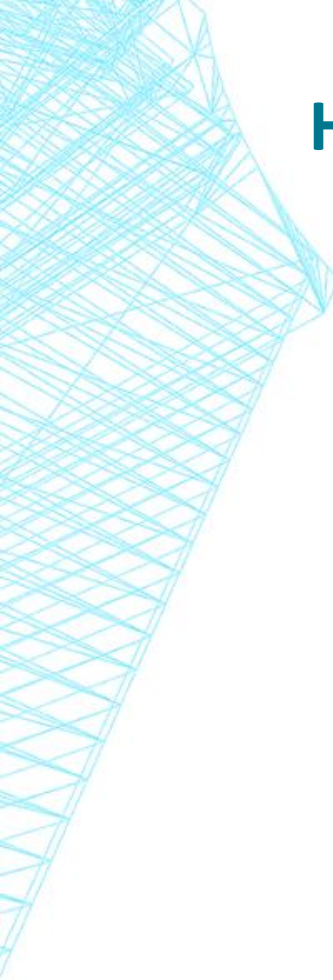
A **firm's** competitive environment **includes two** components: **External - internal**

- **External factors** are **things** in the **global environment** that may impact a firm's operations or success.
- **External factors** **cannot** be **controlled**, but they must be **managed effectively and understood** so that the firm can be as successful.
- **For example**, the **unemployment rate** will affect a **firm's ability** to **hire qualified employees** at a reasonable rate of pay.



# What are the components/factors of the competitive environment?

- **Internal factors** are **characteristics** of **the firm itself**.
- The firm **needs** to **understand** its physical, financial, and human resources, **what it is good at, and how it is organized**.
- **For example**, **Walmart** has a **sophisticated IT system** that **tracks inventory** and automatically **orders products before they run out**.
- The **system orders** new products that **arrive just** as the **products** on the **shelves** are **running out**, so **Walmart** stores do not **need** to have **storage space for inventory**.
- Thus, Walmart **does not have to spend** money on storing or tracking inventory.



# How do firms do strategic analysis for the environment?

This can be done by using a SWOT analysis.

- **SWOT**, an acronym for **strengths, weaknesses, opportunities, and threats**, is a common tool firms use to analyze their strategic and competitive situations.
- Firms use **SWOT** analysis to gain a general understanding of their **strengths and weaknesses** and what factors outside their doors might present chances for success or difficulty.



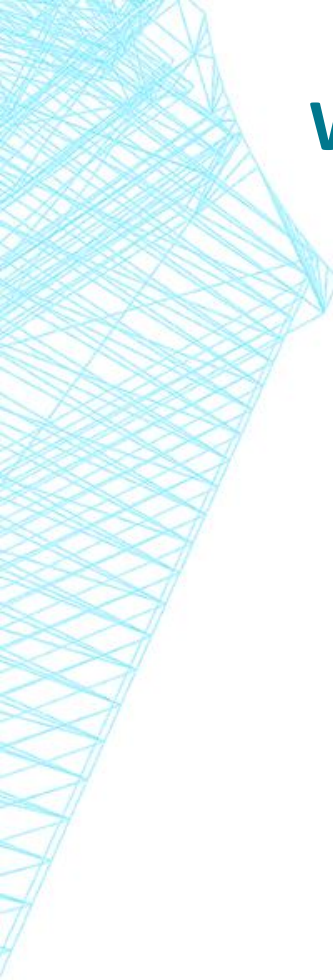
# What are the components of SWOT?



# What are the components of SWOT?

## Strengths

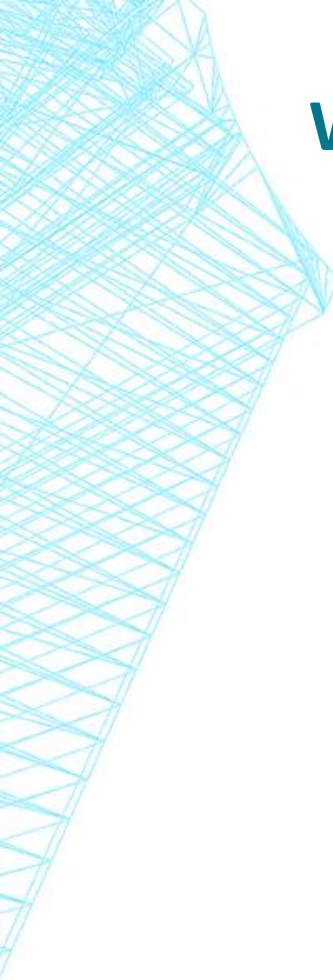
- A firm's strengths are, to put it simply, **what it is good at**. Nike is good at marketing sports products, McDonald's is good at making food quickly and inexpensively, and Ferrari is good at making beautiful, fast cars.
  - Knowing exactly what it is good at allows a firm to make plans that exploit those strengths.
  - When a firm analyzes its strengths, it compiles a list of its capabilities and assets.
- Does the firm have a lot of cash available? That is a strength.
  - Does the firm have highly skilled employees? Another strength.



# What are the components of SWOT?

## Weaknesses

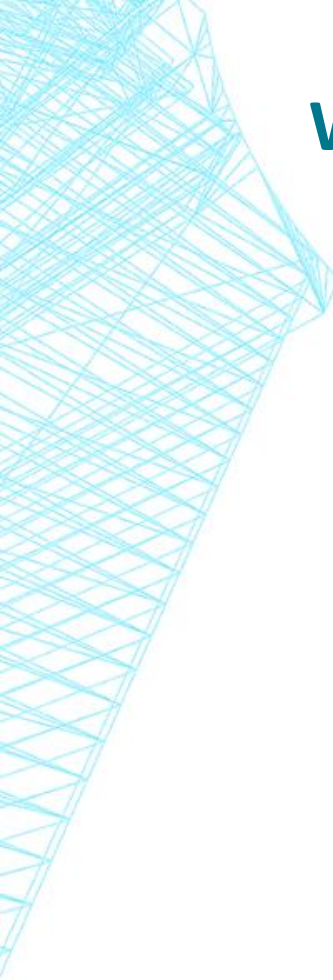
- A firm's weaknesses are **what it is not good at—things** that it **does not have** the **capabilities** to perform well.
- **Weaknesses** are **not necessarily faults**—remember that not all firms can be great at everything.
- **When** a firm **understands** its **weaknesses**, it will **avoid undertaking projects** for which it **lacks the skills or assets to succeed** or find ways to **improve** its **weaknesses** before undertaking new ones.



# What are the components of SWOT?

## Opportunities

- An **opportunity** is a **potential situation** that a firm is **equipped** to take **advantage** of.
- **Opportunities** offer **positive potential**; however, sometimes, a firm is not **equipped** to take **advantage** of an **opportunity**, which is **why considering** the entire **SWOT** is important before deciding what to do.
- **For example**, **Uber exploited public transportation fails and unemployment** by connecting riders looking for transportation with drivers looking for work.



# What are the components of SWOT?

## Threats

- A wide variety of **situations** and **scenarios** can **threaten** a firm's **chances** of **success**, from a **downturn** in the **economy** to a **competitor** launching a **better version** of a product the firm also offers.
- A **good threat assessment** looks **thoroughly** at the **external environment** and **identifies threats** to the firm's business so it **can be prepared to meet them**.



# What are the components of SWOT?

## UBER SWOT ANALYSIS

SWOT analysis is a strategic planning and strategic management technique used to help a person or organization identify Strengths, Weaknesses, Opportunities, and Threats.

### Strengths

- Well-recognized brand
- High standard of service
- Unlimited fleet of vehicles
  - No full-time drivers
- Low operational costs
- Limited competition
- Cashless payment system
  - Dual rating system
- Convenience for drivers

### Opportunities

- Dissatisfaction with traditional cabs
  - Expansion into new markets
    - Suburban expansion
  - Reducing arrival times
- Attracting more investment
- Adoption of electric vehicles (EVs)
  - Diversifying services



### Weaknesses

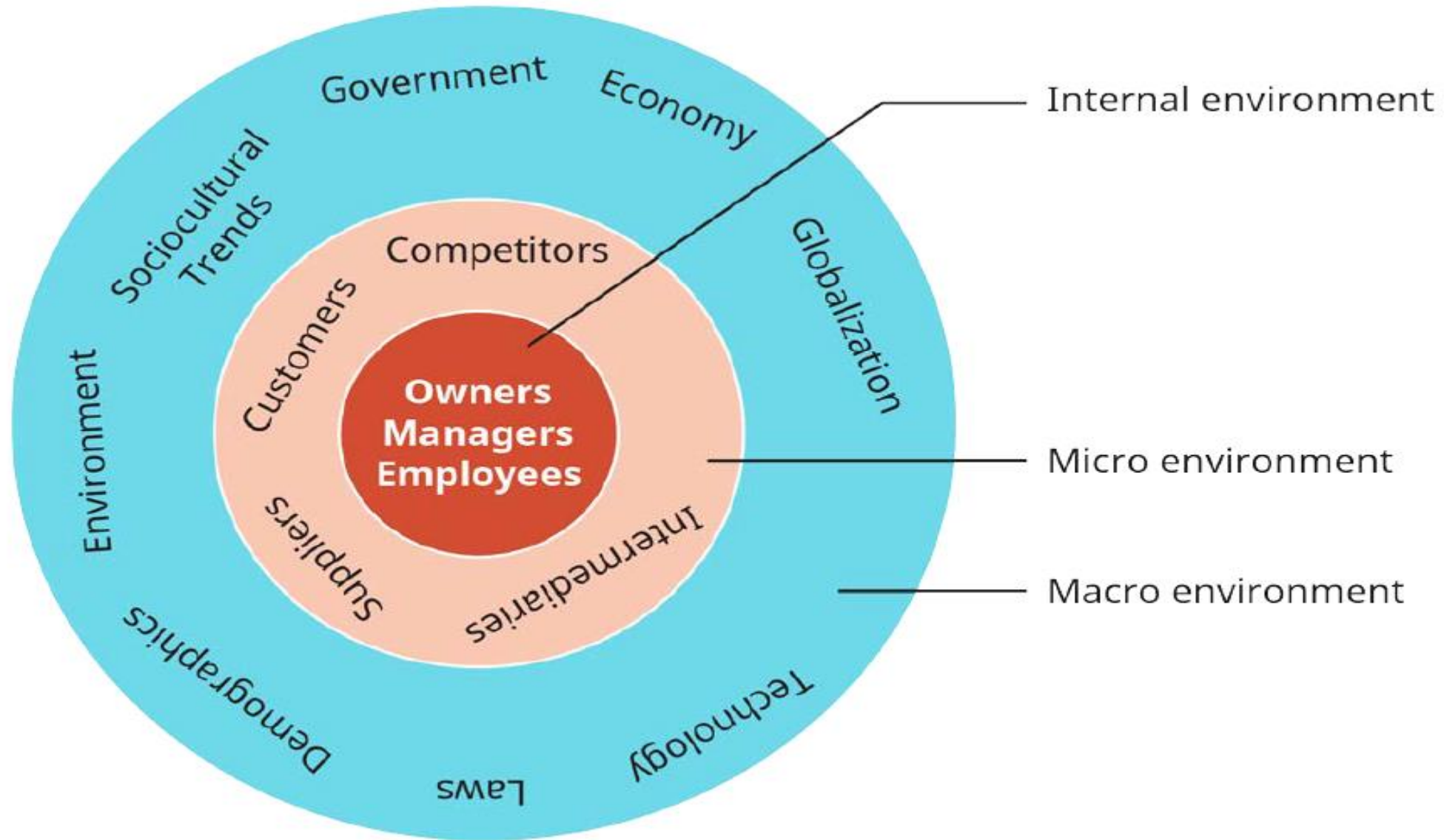
- Ease of imitating business model
- Ethical concerns in driver relationships
- Weak customer loyalty
- High operational costs for drivers
- Unpredictable business model
- Privacy concerns

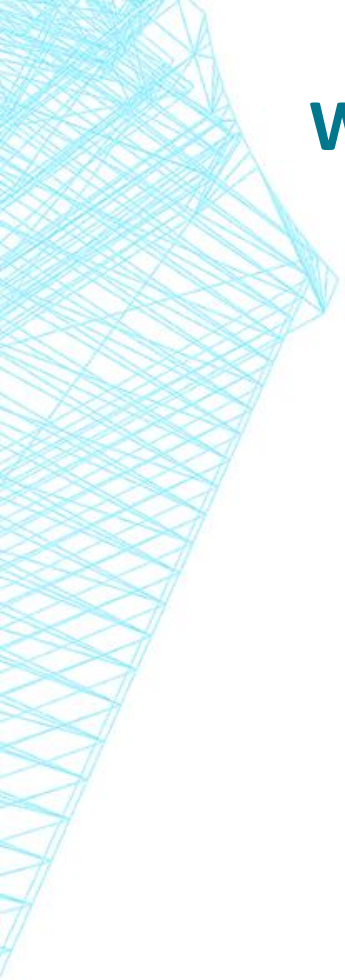
### Threats

- Driver dissatisfaction
- Legal regulations
- Conflicts with local authorities
- Increasing competition
- Risks of fraud and scandals
- Advancements in technology
- Risk of overvaluation and overinvestment

# What is the broad concept of a firm's environment?

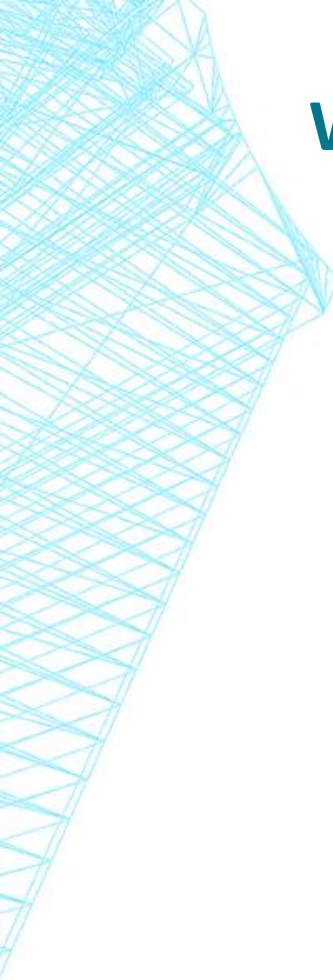
## What are the layers and categories of a firm's environment?





## What is the meaning of macro environment?

- A firm's macro environment contains elements that can **impact** the firm **but** are generally **beyond its direct control**.
- **These elements** are **characteristics** of the **world at large** and are factors that **all businesses must contend with**, regardless of their industry or type of business.



# What strategic tools are used to examine the macro environment?

## PESTEL strategy

- **PESTEL** is a **tool** that **reminds managers** to **look at several** distinct **categories** in the **macro environment**.
- **PESTEL** is an acronym. In this case, the letters represent the categories to examine: political factors, economic factors, sociocultural factors, technological factors, environmental factors, and legal factors.



# What strategic tools are used to examine the macro environment?

## Political Factors

- Tax rates, tariffs, trade agreements, labor and environmental regulations

## Economic Factors

- Employment levels, interest rates, exchange rates

## Sociocultural Factors

- Demographic trends, consumer preferences, market diversity

## Technological Factors

- The internet, smartphones, connectivity, automation

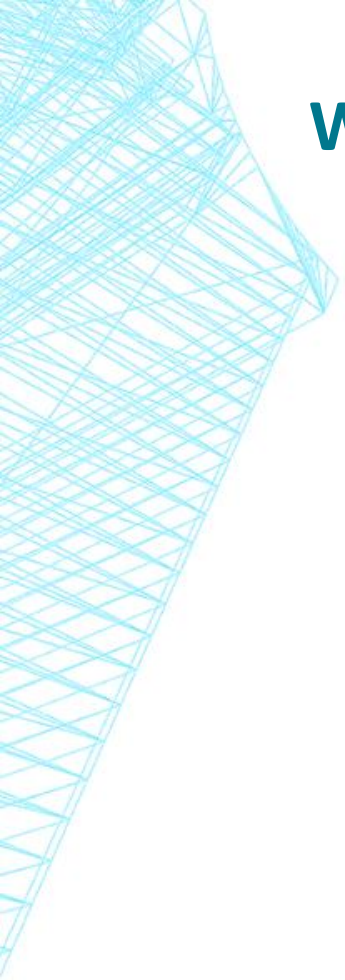
## Environmental Factors

- Resource scarcity, recycling, alternative energy sources

## Legal Factors

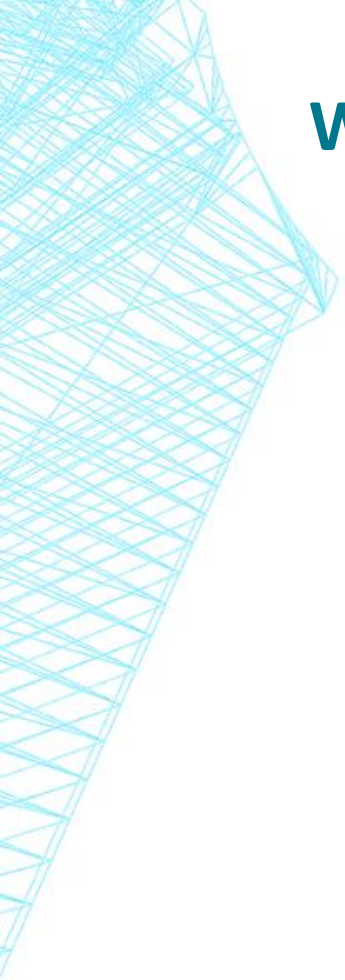
- Contracts, laws, intellectual property rights





## What is the meaning of micro environment?

- A firm's micro-environment is a set of **factors** that are **part** of its **industry** and are **all directly connected** to the **firm** in some way.
- **Firms** must **understand** the **micro-environment** to **compete successfully** in an industry.
- Factors **include** customer interests, supplier relations, and industry growth or decline.

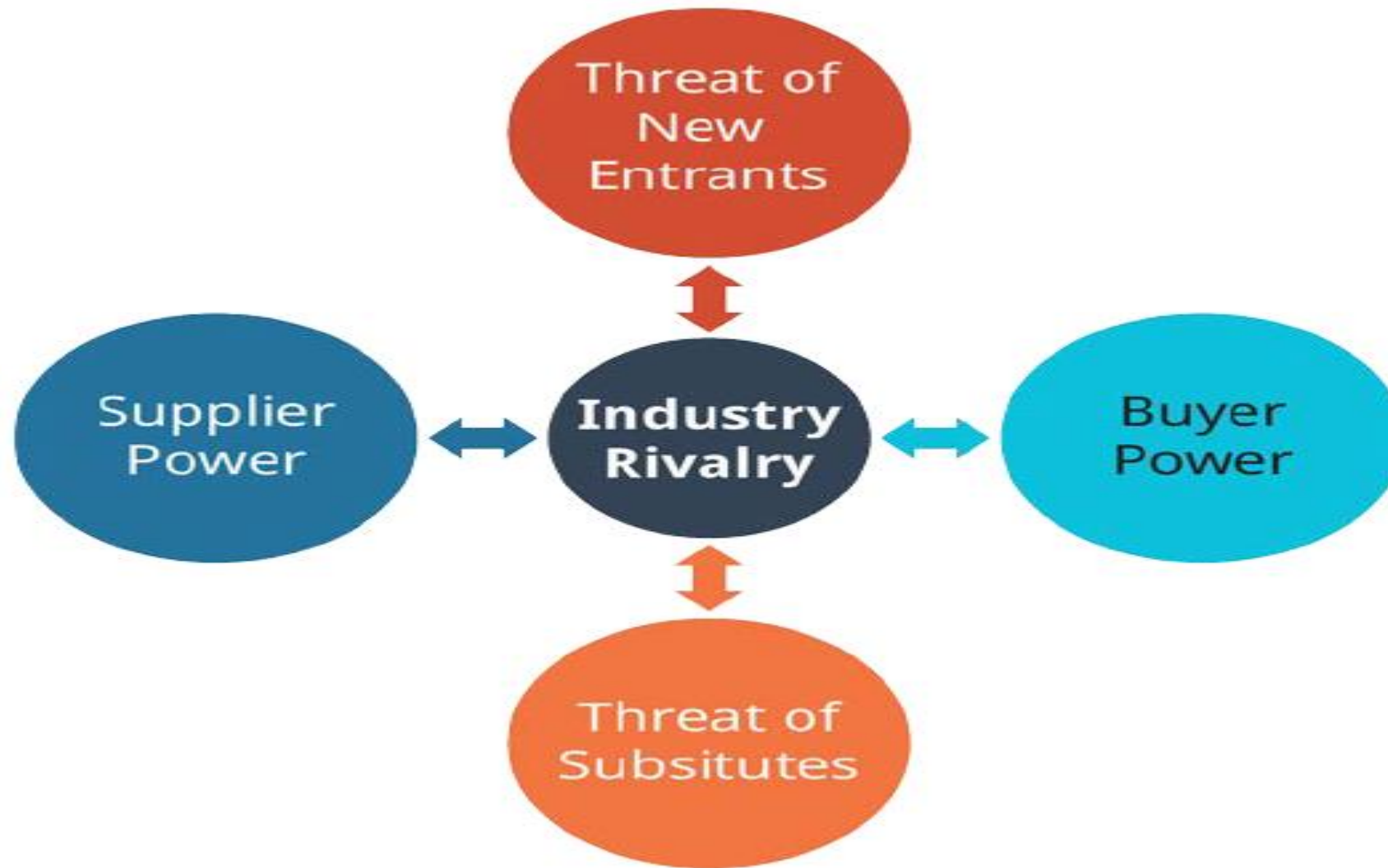


# What strategic tools are used to examine the micro environment?

## Porter's Five Forces

- Porter's Five Forces is a **tool** for **examining** different micro-environmental **factors** to **understand** their **impact** on a firm in an industry.

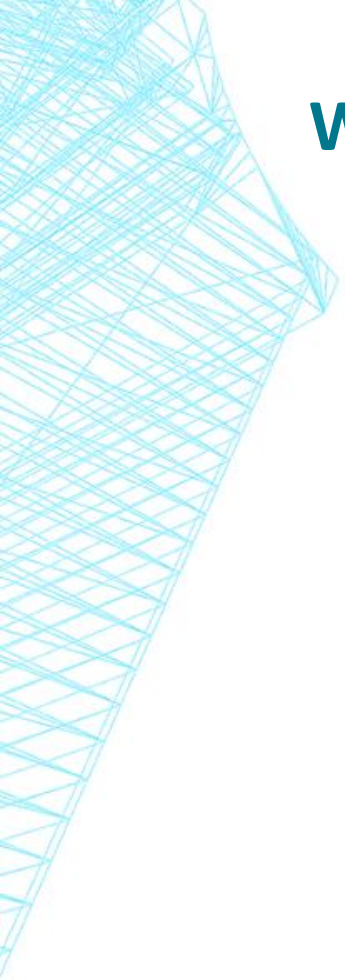
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# What strategic tools are used to examine the micro environment?

## Industry Rivalry

- Industry rivalry, the first of Porter's forces, is at **the center of the diagram**.
- Note that the arrows in the diagram show **two-way relationships between rivalry and other forces**.
- **Each force can affect how hard firms in an industry must compete** to gain customers, establish favorable supplier relationships, and defend themselves against new firms entering the industry.



# What strategic tools are used to examine the micro environment?

## The Threat of New Entrants

- This force includes **new companies starting up** in the industry or **firms** from **another** industry **expanding** their **capabilities** or targeting markets to compete in an industry that is new to them.



# What strategic tools are used to examine the micro environment?

## Threat of Substitutes

- **Substitutes** are **entirely different products or services** that **consumers** would be **willing** to **use instead of the products they currently use**.
- Restaurants compete against each other to attract customers. However, their customers are just hungry people. What else could you do if you were hungry? You could go to the grocery store and buy food to prepare at home.

# What strategic tools are used to examine the micro environment?

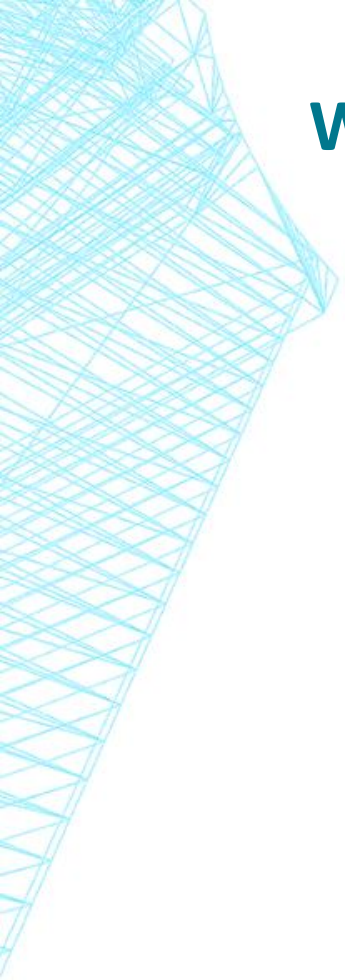
## Supplier Power

- Supplier power refers to the balance of power in the relationship between firms and their suppliers in an industry.
- Suppliers can have the upper hand in a relationship if they offer specialized products or control rare resources.
- For example, when Sony develops a new PlayStation model, it often works with a single supplier to create the most advanced processor chip for its game console. That means its supplier can command a fairly high price for the processors, indicating that the supplier has power.

# What strategic tools are used to examine the micro environment?

## Buyer Power

- Buyer power **refers** to the **balance** of power in the **relationship between** a **firm** and its **customers**. If a **firm provides** a **unique good or service**, it will **have** the **power** to **charge** its customers **premium prices**.
- **In contrast**, when **customers** have **many** potential **sources for a product**, **firms** must **attract customers** by offering **better prices or better value** for the money if they want to sell their products.
- **One protection firms have against buyer power is switching costs**, which means the **penalty consumers face** when they choose to use a particular product made by a different company.



## What is the meaning of the internal environment?

- **The internal environment** consists of the firm's **members**, **investors**, and **assets**.
- **Successful firms** have a wide **range of resources** and **capabilities** that they can **use** to **maintain** their **success** and **grow** into new ventures.

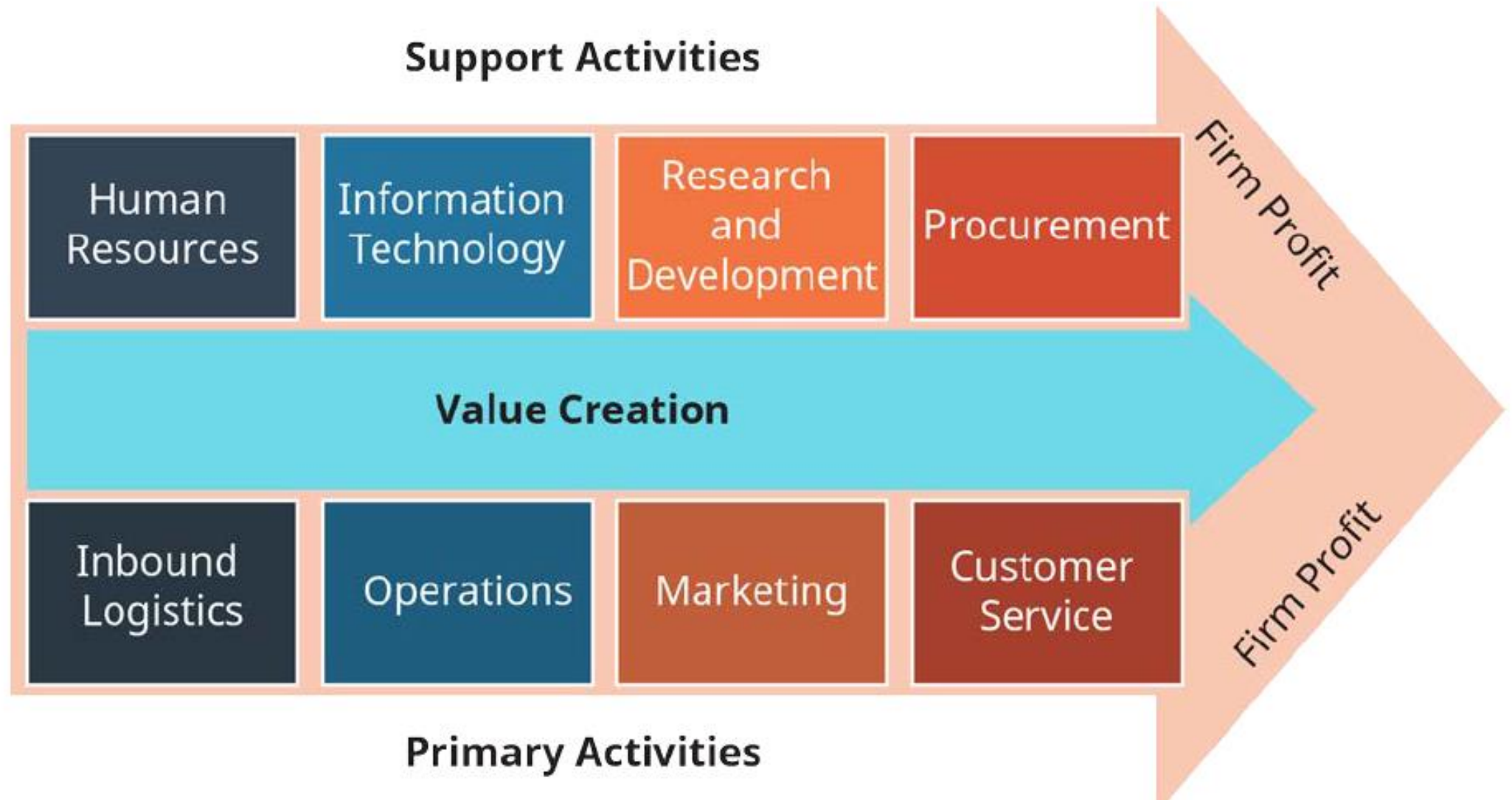
# How can firms use their internal environment to increase profit?

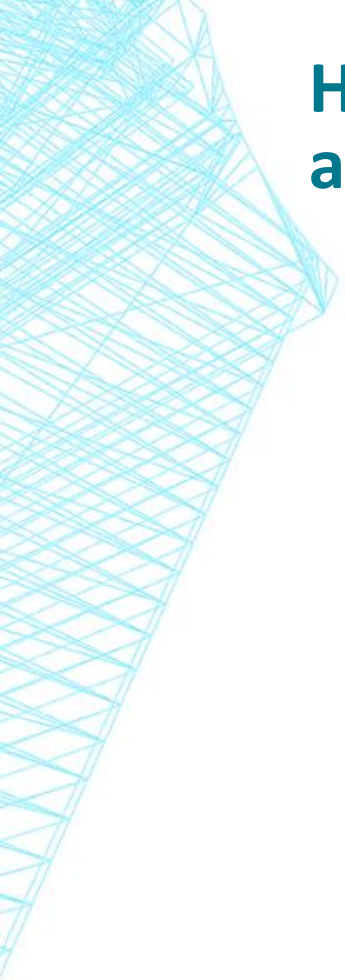
They can apply The Value Chain concept.

- A firm can do this by adding value at each steps it follows to create its product.
- The goal is for the firm to add enough value so that its customers will believe that the product is worth buying for a price higher than the costs the firm incurs in making it.



# How can firms use their internal environment to increase profit?

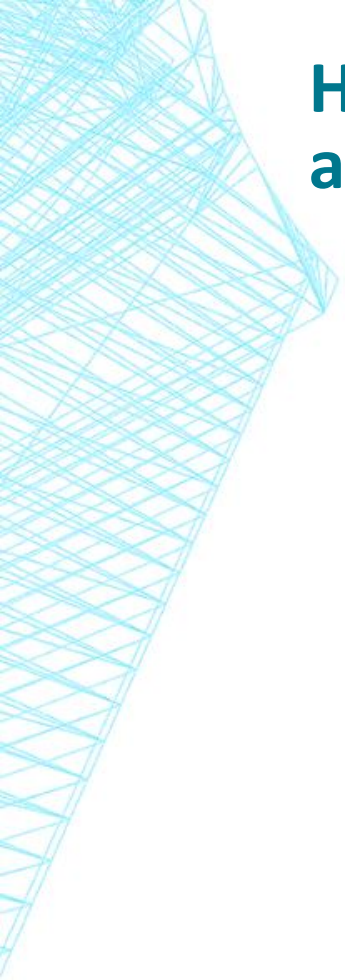




# How can firms use their resources and capabilities to build an advantage over rivals?

What are the meaning of resources and capabilities ?

- **Resources** are things a firm has to work with, such as equipment, facilities, raw materials, employees, and cash.
- **Capabilities** are things a firm can do, such as deliver good customer service or develop innovative products to create value.



# How can firms use their resources and capabilities to build an advantage over rivals?

Firms can depend on the VRIO strategy to assess their resources and capabilities.

- **VRIO** is an acronym developed to remind managers of the questions to ask when evaluating their firms' resources and capabilities.
- The four questions of **VRIO** include value, rarity, imitation, and organization.
- If each question can be answered with a “yes,” then the resource or capability being evaluated can be the source of a firm's competitive advantage.

# How can firms use their resources and capabilities to build an advantage over rivals?

## Valuable

- Does the resource or capability generate value for the firm?

## Rare

- Is the resource or capability rare among firms in the industry?

## Difficult to Imitate

- Would it be difficult or expensive for other firms to imitate the resource or capability?

## Organized to Capture Value

- Is the firm effectively organized to capture the value that this resource or capability generates?

# How can firms use their resources and capabilities to build an advantage over rivals?

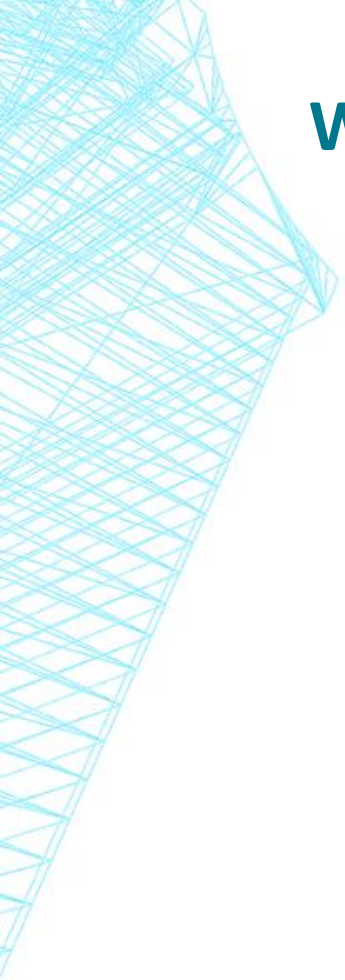
## Starbucks' Resources and Capabilities

| Resources                        | Capabilities                          |
|----------------------------------|---------------------------------------|
| Brand name                       | Making quality coffee drinks          |
| Thousands of locations worldwide | Delivering excellent customer service |
| Cash                             | Training excellent staff              |
| Loyal customers                  | Paying above-average wages            |
| Well-trained employees           | Retaining quality employees           |



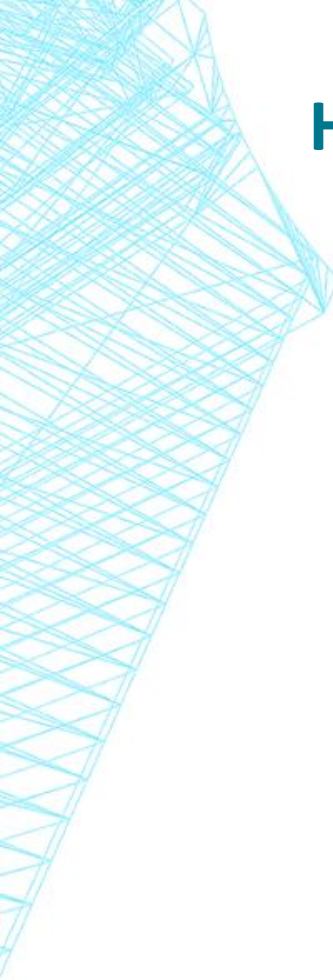
# How can firms use their resources and capabilities to build an advantage over rivals?

| Evaluating Starbucks' VRIO                   |                 |             |                             |                                              |                                              |
|----------------------------------------------|-----------------|-------------|-----------------------------|----------------------------------------------|----------------------------------------------|
| Resource/Capability                          | Is it valuable? | Is it rare? | Is it difficult to imitate? | Is Starbucks organized to capture its value? | Can it be a basis for competitive advantage? |
| <b>Brand name</b>                            | Yes             | Yes         | Yes                         | Yes                                          | Yes                                          |
| <b>Delivering excellent customer service</b> | Yes             | Yes         | Yes                         | Yes                                          | Yes                                          |
| <b>Thousands of locations worldwide</b>      | Yes             | No          | No                          | Yes                                          | No                                           |



# What is the meaning of competitive advantage?

- A **firm** is described as having a **competitive advantage** when it **successfully attracts more** customers, **earns** more profit, or **returns** more value to its **shareholders** than **rival** firms.
- A firm **achieves** a competitive advantage by **adding value** to its products and services or **reducing** its **costs** more **effectively than** its **rivals** in the industry.



# How can firms gain a competitive advantage over rivals?

Firms can gain more competitive advantage over rivals by applying one of these strategies.

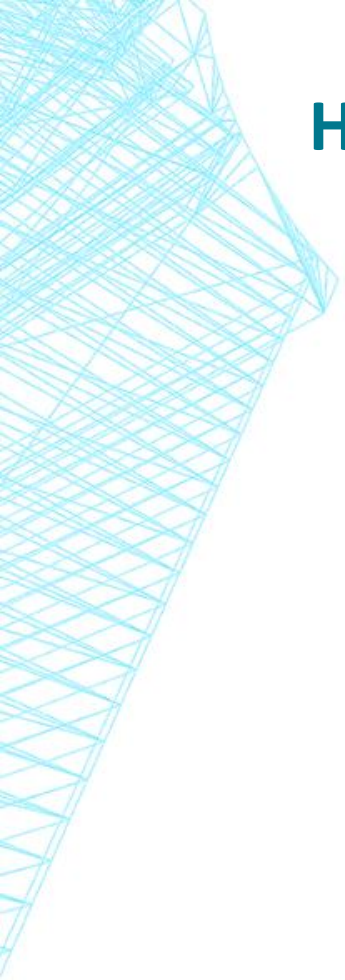
## 1- Cost-strategy

- When pursuing a cost strategy, a firm offers customers its product or service at a lower price than its rivals can.
- To achieve a competitive advantage over competitors in the industry, the successful cost strategy tightly controls costs throughout its value chain activities.

# How can firms gain a competitive advantage over rivals?

## 2- Differentiation strategy

- **A differentiation strategy** is exactly the **opposite** of a **cost strategy**. Firms that differentiate try to **add value to their products and services** to attract customers willing to pay a higher **price**.
- At each step in the value chain, the differentiator **increases the quality, features, and overall attractiveness** of its products or services.
- Research and development efforts **focus on innovation, excellent customer service, and marketing** that **bolsters** the value of the firm brand.
- **Starbucks is an excellent example of a differentiator: it makes coffee**, but its customers are **willing** to pay **premium prices** for a cup because they **value the restaurant atmosphere, customer service, product quality, and brand**.

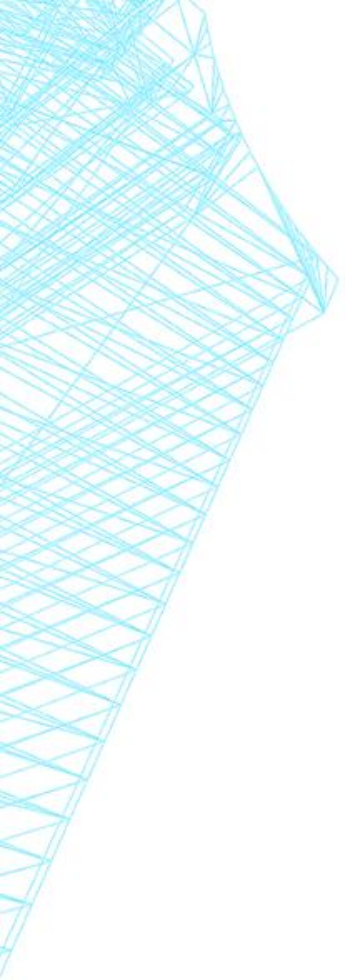


# How can firms gain a competitive advantage over rivals?

## 3- Focus strategy

- A firm implementing a focused strategy will **concentrate** its **marketing** and **selling efforts** on a **smaller market** than a broad cost strategy or differentiator.
- A firm following a focus-strategy, for example, will **add value** to its **product** or service that **a few customers will value highly**, **either** because the **product** is **specifically suited to a particular use** or because it is a luxury product that few can afford.





THANKS